

PITCH — RWT — VERDICT

ADJUDICATED 2026-09-16 — FLAT — damage arriving (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

What we believe

Redwood Trust is a mortgage lender/securitizer trading at \$3.61, which is **0.52x its last reported book of \$6.90/share** and 46.5% below its 52-week high. It pays \$0.18 a quarter — a 19.9% yield — and its own core earnings (EAD) covered only \$0.15 of that last quarter, down from \$0.21 the quarter before.

Our belief in one sentence: **this is a cheap price on a book that is still shrinking, and the thing that has to stop shrinking has not yet stopped.** The company earns less than it pays out, funds the gap in the capital markets, and has grown its share count 16.5% over nine quarters while book value per share fell 18.4%. That is the leak. Price alone does not fix it.

We also believe the September 10 financing was, on the arithmetic, **better for the company than either of our benches concluded** — and that the single most position-relevant fact of the month is that the board bought 5,509,641 shares (4.1% of the company) at \$3.630, i.e. 0.53x book, with its own money on the same day it sold converts. Management behaved like the stock is cheap.

So: cheap, insider-validated, and still bleeding. We want it — after one clean print, not before.

What the market believes

The sell side carries Q3'26 EPS of **\$0.26**, FY26 **\$1.05**, FY27 **\$1.08**, and an average price target of **~\$9.56** across nine analysts (cut from \$10.33). The mechanism behind that number is roughly 92bp of gain-on-sale on ~\$8bn of volume with the Legacy segment's drag marked to about zero.

The tape believes something much worse: at \$3.61 the market is pricing a dividend cut, further book erosion, or both. A 19.9% yield is not a yield the market believes in.

We do not agree with the street, and the disagreement is against the bulls. Two consecutive prints say Legacy is the swing item (−\$14m last quarter) and it has not gone to zero. If the street is wrong about Legacy, \$1.05 is not the number.

Why we might have edge

1. **We read the whole filing.** The originating brief read Exhibit 99.1 (the dividend) of 8-K 0001104659-26-106539 and concluded there was “zero company-specific disclosure.” Exhibit 99.2 of the same accession is a \$150m convertible launch that priced at **\$185m of 7.00%**

converts due 9/15/2030, conversion price ~\$4.90, closing 9/15/26, with ~\$129.29m used to retire ~\$123.79m of the 7.75% 2027s and up to \$20m for a concurrent buyback:

https://www.sec.gov/Archives/edgar/data/0000930236/000110465926106539/tm2625156d1_ex99-2.htm. Anyone working off headlines missed this.

2. **We did the option math nobody else did.** The convert's real cost is 7.00% cash *plus* the value of the embedded call struck at \$4.90. Priced properly — including RWT's actual ~19.9% dividend yield, which crushes call value — the all-in cost is **~8.1%–8.8%**, *cheaper* than the 9.75% straight paper the company issued before. The convert is a genuine improvement in cost and in maturity profile.
3. **We sized the dilution correctly.** Principal is cash-settled, so shares are only issued on value above the strike: **0 shares at \$4.90, 10.9m (8.2%) at \$6.90, 17.2m at \$9.00** — not the 37.75m headline. If-converted book is **\$6.49** (post-buyback), so the tape is 0.56x a fully-diluted book, not 0.52x a fantasy book.
4. **We know what the next print has to show**, in numbers, before it prints: +\$0.14 BVPS from the buyback, −\$0.02 to −\$0.04 from the debt extinguishment premium, +\$0.84m/quarter of extra cash interest, and whatever the marks do.
5. **A dated, near-term primary catalyst is inside 3 sessions** (convert close 9/15) and a real earnings fork ~7 weeks out. We are early to a fork, not late to a story.

Why it might be priced in

Honestly: most of it probably is.

- A 19.9% yield on a 0.52x book multiple is the market *already* saying “the dividend gets cut and book keeps falling.” We are not discovering distress; we are pricing it.
- The buyback at \$3.63 is public and was in a press release. Every screen saw it.
- 5.0x recourse leverage (up from 2.4x in eighteen months) is disclosed and is exactly why the multiple is what it is.
- Our own scenario table (below) produces an expected price of **\$3.64 against a \$3.61 tape** — a 1% edge, which is zero. That is the single most important line in this deck.
- The dislocation is live but not fresh: the stock is already +11.8% off its low.

What could go wrong

Failure narrative #1 — We buy a confirmation that turns out to be a one-off (monitorable).

Q3 prints EAD at exactly \$0.18 because a single securitization executed well, we enter a starter at ~\$4.10, and Q4 reverts to \$0.14 with Legacy still bleeding. *Tripwire*: EAD composition — Core Segments line vs consolidated, and gain-on-sale margin vs the street's 92bp assumption. Fires at the Q3 8-K, same day.

Failure narrative #2 — The dividend is cut at the Q4 declaration (partially monitorable). The Q4 declaration lands in December. Coverage at 83% and a capital-markets-funded distribution make a cut a live possibility; the price impact is a gap, not a slide — our table puts that world at \$2.60. *Tripwire*: the declaration 8-K itself, plus EAD trend. But the tripwire and the damage arrive in

the same instant, so it protects sizing, not entry price. Second-order and nastier: a cut *raises* the embedded call's value by dropping the dividend yield, lifting convert-arb delta from ~0.15 toward ~0.32 — roughly **6m extra shares of hedge supply arriving exactly when the stock is gapping down**. Fundamental damage and mechanical supply are correlated here, not independent.

Failure narrative #3 — Funding-channel shock. NO MONITORABLE TRIPWIRE. The warehouse lines financing ~\$3.1bn of loan inventory at 5.0x recourse leverage reset haircuts or terms, and equity absorbs it. We have no loan tape (no ABS-EE pull), no counterparty note until the 10-Q, and **no visibility at all into private repo terms, advance rates, or haircut triggers — those contracts are not disclosed anywhere**. Nothing in our sensor set can fire before the 8-K announcing the damage. **Unknown-unknown class: undisclosed private-contract terms in the funding channel** — Knightian, not probabilistic: we cannot even write the distribution because the underlying agreements are non-public. Adjacent class: correspondent-seller concentration in the Sequoia flow, which we also cannot see.

Reflexive / structural leg. - *Our size vs. liquidity*: ADV is an estimate, not a measurement — the IBKR bars rail is down. We estimate **2.2–3.5m shares/day (~\$8–13m)** from sibling small-cap mortgage REITs and RWT's own history. A 1.0% starter is comfortably inside 10% of a day's volume; the 2.5% cap is ~1–2 days' participation in normal tape and *unknowable* in a dividend-cut gap, which is precisely when we would want out. Size the position to the gap, not to the median day. - *Predicted flow*: dividend-capture buying into the 9/23 record date, then supply right after it; convert-arb hedge supply of **~3.7–7.3m share-equivalents** at current yield (37.75m conversion-rate calls × delta 0.10–0.19), which is ~2 days of ADV dribbling out through settlement; and — the one nobody schedules — **tax-loss selling in November–December in a name down 46.5% on the year**. All three point the same way: supply before the print, supply after the print, supply into year-end. Buying the 9/23 record date means paying for \$0.18 and standing in front of all of it. - *Doctrine interactions*: our own two rules point in opposite directions on the same document — “below-book convert recap masks marginal cost” (red) versus “cash-settled convert overhang is overstated” (blue). Whichever a reader meets first will drive their view. The arithmetic says the second is closer on *issuance* and **neither is right on hedge delta**, which runs off the full conversion rate, not the spread shares. A desk that applies either doctrine mechanically gets this wrong.

If this position loses money, the most likely reason will be that we bought the 0.52x book multiple and not the coverage gap — entering on a single confirming print while core earnings stayed below the dividend, and then eating a dividend cut whose gap down, arb re-hedging, and year-end tax-loss supply all arrived at once.

What we checked ourselves

Claim	How checked
Tape = \$3.61	Back-solved the convert: $\$4.9005 \div 1.35 = \3.63 ref close; buyback executed at \$3.630

Claim	How checked
“No company-specific news in the 8/19→9/10 window” (the originating brief)	Pulled the full accession, not the pack excerpt
Red bench: the convert <i>caused</i> the -24% leg	Chronology
Red bench: 37.75m shares / 28.4% dilution overhang	Indenture language in the PR (“cash up to at least the principal amount”)
Red bench: “unsecured >9.75%” trigger is unfireable; true cost rose	Black-Scholes on the embedded call, S=3.61, K=4.90, T=4, r=4%
Blue bench: all-in ~9.8%, “a wash” vs 9.75%	Re-ran blue’s own model with the actual dividend yield (19.9%) instead of its q = 0–10% range

Claim	How checked
Arb hedge supply $\approx$ zero because principal is cash-settled	Decomposed the payoff: $\max(1000, 204.06 \times S) = 1000 + 204.06 \text{ calls @ } \4.90
If-converted book	$898 \div (127.497 + 10.94)$
Buyback +\$0.14 BVPS	$(918 - 20) \div (133.006 - 5.5096) = \$7.043 \text{ vs } \$6.902$
Extinguishment cost \$0.04/sh	\$129.29m paid vs \$123.79m principal = \$5.5m; blue nets ~\$2.4m accrued coupon
Net cash interest change	$\$185\text{m} \times 7.00\% - \$123.79\text{m} \times 7.75\%$
EAD \$0.21 $\rightarrow$ \$0.15 vs unchanged \$0.18	Q1/Q2 releases (https://www.sec.gov/Archives/edgar/data/0000930236/000093023626000016/a2026q1earningsrelease.htm)
"Erosion is decelerating"	Recomputed: $Q1'26 (7.12 - 7.36 + 0.18) / 7.36 = \mathbf{(0.82)\%}$; $Q2'26 = \mathbf{(0.56)\%}$

Claim	How checked
Share count +16.5% while BVPS –18.4%	Pack XBRL: dil_sh 114.1m (3/23) → 133.0m (6/25); BVPS series
Recourse leverage 2.4x → 5.0x in 18 months	Deck/transcript
Street \$0.26 / \$1.05 / PT \$9.56	Secondary (consensus aggregator)
Detector dispatch	Compared both benches' lists to the pack's matched set
Ticker of the 9.75% 2031s	8-K cover vs pricing PR
Share count used in all per- share math	Pack XBRL
Sector impairment print (dv01 6.27%, MBA –2.5%)	Attempted; no ABS-EE loan-tape pull available

PROPOSED ENTRY BANDS

Both courts say NO ENTRY. The following are reopen bands, not orders. Book = NO POSITION, orders = NONE.

R1 — Primary reopen (fundamental gate). At the Q3 print (expected **2026-10-28, UNCONFIRMED**), both of: - consolidated **EAD $\geq$ \$0.18**, and - **BVPS $\geq$ \$6.80** *after* the extinguishment charge (i.e. the +\$0.14 buyback accretion was not eaten by marks), plus the **9/15 closing 8-K** disclosing whether capped calls / a bond hedge exist. → **STARTER 1.0% of book**, paid up to **\$4.10** ($\approx 0.60\times$ post-print book). **Nothing paid above \$4.90** — that is the price at which management chose to sell equity; we do not pay more than the board's own strike.

R2 — Add (second confirmation). A second consecutive print with **EAD $\geq$ \$0.18** *and* no new below-book equity or ATM issuance → **add to 2.0%, hard cap 2.5% of book**, paid up to **\$5.20**. Daily participation $\leq 10\%$ of estimated ADV $\approx \leq 250k$ shares/day.

R3 — Capitulation probe (price + corroboration, never price alone). Tape **\$2.90–\$3.23** (at/through the 52-week low, $\leq 0.47\times$ book) **AND** a Form 4 open-market insider buy dated after 9/10 **AND** the Q4 dividend declared → **0.5% probe**. Without the Form 4, no bid at any price.

R4 — Hard no-bid. If the Q4 dividend is cut, or a new below-book equity raise/ATM is announced, all bands void; re-underwrite from scratch below **\$2.60** against a re-struck book.

Trims/exits (for the hypothetical R1 starter only): stop out on BVPS $<$ \$6.40 or on a dividend cut; trim half at **\$5.80** ($\approx 0.89\times$ if-converted book); full exit at **\$6.49** (if-converted book).

Explicitly do NOT: buy for the **9/23 record date**. An 83%-covered 19.9% yield eight sessions after the issuer financed itself with equity struck 29% below book is not income; it is book being handed back to us net of tax.

Catalyst dates: 2026-09-15 convert close (+ closing 8-K) · 2026-09-23 common record · 2026-09-30 common payable (\$0.18) · 2026-10-01 Series A record · 2026-10-15 Series A payable (\$0.625) · **2026-10-28 Q3 print (UNCONFIRMED)** · $\sim$ 2026-11-05 Q3 10-Q (JV terms, counterparty note) · $\sim$ mid-December Q4 dividend declaration · 2030-09-15 convert maturity.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 2.6 (deck-provisional: dividend-cut / coverage-break scenario price ($p=0.20$); voids all bands, re-underwrite from scratch)
- filing watch: 8-K until 2027-03-10 (deck-provisional: convert closing 9/15/26 — must disclose whether capped calls / bond hedge exist)
- dated pack RWT|2026-09-15: RWT: 144A convertible closes (\$185m, 7.00%, due 2030, conv. price $\sim$ \$4.90); closing 8-K expected (date confirmed=True)

- dated pack RWTI2026-09-23: RWT: Common dividend record date (\$0.18) — explicitly do not buy for this (date confirmed=True)
- dated pack RWTI2026-09-30: RWT: Common dividend payable \$0.18/sh (date confirmed=True)
- dated pack RWTI2026-10-01: RWT: Series A preferred record date (\$0.625) (date confirmed=True)
- dated pack RWTI2026-10-15: RWT: Series A preferred payable \$0.625/sh (date confirmed=True)
- dated pack RWTI2026-10-28: RWT: Q3'26 print — the entry gate (EAD $\geq$ \$0.18 AND BVPS $\geq$ \$6.80) (date confirmed=False)
- dated pack RWTI2026-11-05: RWT: Q3 10-Q estimated — JV terms, counterparty note, seller concentration (date confirmed=False)
- dated pack RWTI2026-12-15: RWT: Q4 dividend declaration estimated — the cut sensor (date confirmed=False)

What remains unverified

1. **Capped call / bond hedge on the convert.** Time-gated to the 9/15 closing 8-K. Estimate: **p(capped call disclosed) $\approx$ 0.30** — small-cap financials refinancing existing debt rarely spend cash on a hedge. If present, the economic dilution at \$4.90 largely disappears.
2. **Q3'26 consolidated EAD.** Time-gated to 10/28. Estimate **\$0.13–\$0.17**; **p(EAD $\geq$ \$0.18) $\approx$ 0.20**, off the \$0.21 $\rightarrow$ \$0.15 trend and Legacy at $-\$14m$.
3. **Q3'26 BVPS post-extinguishment.** Time-gated. Estimate **\$6.85–\$7.05** (\$6.90 + \$0.14 buyback – \$0.02/0.04 extinguishment – $\sim 0.6\%$ economic drag $\pm$ marks); **p(BVPS $\geq$ \$6.80) $\approx$ 0.60**.
4. **Current diluted share count.** Pack ends 6/30/25. Drainable now from the 8/5/26 10-Q via XBRL — every per-share figure in this deck is hostage to it.
5. **Sequoia/CAFL 60+ delinquency vs the 6.27% sector print.** Data is public (Reg AB II ABS-EE exhibits); we lack the parser. Estimate **5.0%–7.5% 60+ DQ**, using the sector print as the base rate with a prime-jumbo downward adjustment; **p $\approx$ 0.6**.
6. **ADV / true float liquidity.** No IBKR bars. Estimate **2.2–3.5m shares/day (\$8–13m)** from sibling small-cap mortgage REITs.
7. **Options chain: real strike quotes, chain-level midpoint IV, IV percentile.** No chain rail. Estimate **IV 55%–70%**; **p $\approx$ 0.6**.
8. **Crayhill/Aspire JV consolidation terms.** Time-gated to the Q3 10-Q ($\sim$ early November).
9. **Correspondent-seller concentration in Sequoia flow.** Drainable now from the 10-K concentration table / 10-Q counterparty note.
10. **Whether 2026-10-28 is the actual print date.** yfinance-derived; no company PR, no scheduling 8-K in the pack. Estimate window **2026-10-27 to 2026-11-05**; **p(date as given) $\approx$ 0.65**.

PRIZE TABLE + VOL READ

Both benches declared the prize table “not applicable — RWT is a cash-generating operating lender, not a pre-revenue project developer.” Both benches were wrong on the rule. The trigger is not “pre-revenue”; it is “≥1 unverified item is genuinely time-gated or private.” Items 1, 2, 3, 8 and 10 above are all time-gated. The table is required. Here it is.

Anchor: \$3.63 — the price at which the board bought 4.1% of the company on 9/10 — against \$6.90 book. Adjust from there.

Horizon: through the Q3 print, ~7 weeks ($T = 0.135\text{yr}$). Prices are post-ex-dividend.

Scenario	Description	p	Price
A — Clean fix	$EAD \geq \$0.18$, $BVPS \geq \$6.80$, capped calls disclosed	0.12	\$5.20
B — Stabilizing, still uncovered	$EAD \$0.15\text{--}0.17$, $BVPS \geq \$6.80$	0.33	\$4.10
C — Grind	$EAD \sim \$0.14$, $BVPS \$6.60\text{--}6.80$, dividend held	0.30	\$3.55
D — Coverage break	$EAD \leq \$0.13$ or $BVPS < \$6.60$; cut signalled	0.20	\$2.60
E — Funding/credit event	Recourse 5.0× bites; forced deleveraging	0.05	\$1.60

EV line: $0.12(5.20) + 0.33(4.10) + 0.30(3.55) + 0.20(2.60) + 0.05(1.60) = \3.64 vs tape \$3.61 = **+0.9%**. Add the \$0.18 dividend in the window and total-return EV = **+5.9%**. **σ table = \$0.888 = 24.6% over 7 weeks = 67% annualized.** A 1σ move is $\pm\$0.82$. An edge of +5.9% inside a $\pm 23\%$ distribution is not an edge; it is noise with a directional label on it. **This is the arithmetic that says FLAT.**

IV vs RV: no options chain is available in this pack — COVERAGE GAP, and the instrument call is therefore provisional. Estimated IV 55–70%; estimated RV 55–65% off a –46.5% drawdown year. $VRP \approx 0$ to **+10 points**, i.e. no clear premium to sell and no clear discount to buy. We are explicitly *not* using an underlying aggregate IV feed as a substitute — per the TSSI lesson (underlying feed 71 vs chain 101), the aggregate and the chain diverge enough to invert the recommendation.

Expression math, priced off the table itself ($C_{\text{ours}} = \sum p_i \times \max(S_i - K, 0)$, intrinsic at the print, no residual time value — a lower bound):

Strike	C_{ours} (table)	Chain mid	Verdict
\$5.00	\$0.024	unavailable	Fails on our own numbers — all of its value would be residual time value, none of it our thesis
\$4.00	\$0.177	unavailable	Clears only if the real Nov quote is $\leq \$0.18$

Strike	C_ours (table)	Chain mid	Verdict
\$3.50	\$0.417	unavailable	Mostly intrinsic; nearly the same exposure as stock with worse liquidity

Bimodality: the table is fork-dated on 10/28 and its mass is genuinely two-humped — a B/C cluster at \$3.55–\$4.10 (63%) and a D/E tail at \$1.60–\$2.60 (25%). A single-strike IV will mis-price that fork; a strangle is the theoretically correct expression, and we cannot price one without quotes.

Instrument recommendation — the output of the above, not a preference: NONE now. If R1 opens post-print, **stock, not calls:** our table concentrates upside in a 12%-probability branch, table vol (67%) sits at the top of estimated IV (55–70%) so calls are at best fairly priced, and — decisively — the gate is a *fundamental confirmation that has already happened by then*, which removes the reason to rent time. If a chain pull later shows chain-level midpoint IV below ~55% with the fork still open, revisit the Nov \$4.00 call against the \$0.177 table value. Rich IV (>75%) would route to covered calls on an existing starter or a CSP at the \$3.00 strike — neither is live today.

TAX OVERLAY (2026 is a harvest year). The loss branch must land in TY2026. A **January 2027 expiry defers the D/E loss into TY2027 and is excluded** — our edge (+0.9% on price) does not come close to numerically dominating that deferral. Two consequences: (i) any option expression must be **November or December 2026 expiry**; (ii) the Q4 print lands in late January 2027, past Dec 31, so a position sized to *that* fork carries a deferred loss branch by construction — another reason any starter is **stock, small, and entered after the year-end tax-loss selling wave** we flagged in the pre-mortem rather than into it.

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ADJUDICATION — 2026-09-16 15:37Z

Street Q3 EPS \$0.26 / FY26 \$1.05 vs our EAD \$0.15 with Legacy -\$14M: divergence against the bulls with named mechanism (92bp GoS × \$8bn, Legacy marked to zero).

REOPEN GATES: Q3: consolidated EAD ≥\$0.18 AND BVPS ≥\$6.80 post-extinguishment; 9/15 closing 8-K capped-call disclosure → starter